

ECONOMICS ENTRANCE EXAM OF 2016

- PART ONE
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1. Which one of the following represents the increase in the quantity supplied of real GDP due to the increase in the price level?

- **Choices:**

- A. The rightwards shifts of the aggregate supply curve
- B. The leftwards shifts of the aggregate supply curve
- C. The downwards movements along the aggregate supply curve
- D. The upwards movements along the aggregate supply curve

- **Answer: D**

Explanation: A price level increase causes a **movement along** the aggregate supply (AS) curve (upward), not a shift. Firms supply more real GDP as prices rise. Shifts (A/B) occur due to non-price factors like technology or input costs.

2. When the economy is in the long run, which of the following is correct?

- **Choices:**

- A. Sticky wages and workers' misperception still hold true.
- B. What the economy produces is the full employment real GDP.
- C. The short run and the long run real GDP will be the same.
- D. The level of real GDP the economy produces is less than the natural real GDP.

- **Answer: B**

Explanation: In the long run, wages and prices adjust fully, leading to **natural real GDP** (full employment output). Sticky wages (A) are short-run phenomena. Short-run GDP (D) may differ.

3. What is the pressure on price when the quantity demanded of real GDP is greater than the quantity supplied during the short run?

- **Choices:**

- A. The price level rises
- B. The price level drops
- C. No pressure at all
- D. Initially downwards

- **Answer: A**

Explanation: Excess demand creates **upward pressure** on prices as firms raise prices to balance the market. Downward pressure (B/D) occurs with excess supply.

4. Which one of the following is correct about the economy in long-run equilibrium?

- **Choices:**

- A. The economy produces the real GDP which is called the natural real GDP.
- B. The short-run aggregate demand curve intersects the short-run aggregate supply curve.
- C. The long-run aggregate demand curve intersects the short-run aggregate supply curve.
- D. Price temporarily deviates from equilibrium even if aggregate demand and aggregate supply remain unchanged.

- **Answer: A**

Explanation: Long-run equilibrium occurs at natural real GDP. While B is technically true, it does not define long-run equilibrium. D contradicts equilibrium stability.

5. Which represents an inefficient distribution of goods in the free market?

- **Choices:**
 - A. Externalities
 - B. Asymmetric Information
 - C. Market Failure
 - D. Free riding

- **Answer: C**

Explanation: Market failure is the **broad term** for inefficient resource allocation. Externalities (A) and asymmetric information (B) are specific causes, not the overarching concept.

6. Impact of increased foreign economic activity on aggregate demand?

- **Choices:**

- A. Aggregate demand will increase
- B. Aggregate demand will decrease
- C. Aggregate demand remains unaffected
- D. Aggregate demand first declines and then rises

- **Answer: A**

Explanation: Higher foreign activity boosts demand for domestic exports, increasing **net exports** (a component of AD). No offsetting factors are mentioned.

7. Differentiates changes in quantity demanded vs. aggregate demand?

- **Choices:**
 - A. As the price level falls, the quantity demanded of real GDP rises, ceteris paribus.
 - B. It is represented as a movement from one point to another along different demand curve.
 - C. A positive change in any factors causes a rightward shift in the AD curve.
 - D. It is a shift in aggregate demand curve from AD1 to AD2 on different curve.
- **Answer: A**

Explanation: A describes a **movement along the AD curve** (price change). C/D describe shifts in AD. B incorrectly references "different demand curves."

8. Correct about the aggregate demand curve?

- **Choices:**

- A. It represents the inverse relationship between the real GDP demanded and consumption expenditure.
- B. It represents the amount of real output sellers desire to sell at each price.
- C. It shows the inverse relationship between real output buyers desire to buy at each price.
- D. It shows the inverse relationship between real output sellers desire to sell at each price.

- **Answer: C**

Explanation: AD shows how real GDP demanded varies **inversely** with the price level. B/D describe aggregate supply. A confuses components (consumption is part of AD).

9. Implication of Keynesian horizontal AS curve?

- **Choices:**
 - A. Firms can supply whatever amount demanded at the existing price because of unemployment.
 - B. Firms can obtain much labor as they want as long as they pay more.
 - C. As output level changes, the average cost of production increases.
 - D. The labor market is in equilibrium with full employment of the labor force.
- **Answer: A**
Explanation: The horizontal AS reflects **excess capacity** (unemployment). D refers to the vertical AS curve (long run).

10. Main factor affecting firms' output supply?

- **Choices:**

- A. The price of related goods produced by other firms
- B. The price they receive for their goods
- C. The level of economic activity in other countries
- D. The price they anticipate to prevail in the future

- **Answer: B**

Explanation: Output prices directly influence supply. Related goods (A) or future prices (D) are secondary. C affects AD.

11. NOT a cause of market failure?

- **Choices:**
 - A. Monopoly
 - B. Externalities
 - C. Factor Immobility
 - D. Private goods
- **Answer: D**
Explanation: Private goods are **efficiently allocated** in markets. Monopoly (A), externalities (B), and factor immobility (C) cause market failure.

12. Solution for positive externality via scholarships?

- **Choices:**
 - A. Voluntary collective action solutions
 - B. Government-imposed solutions
 - C. Private market solutions
 - D. Non-excludability
- **Answer: B**

Explanation: Subsidies (e.g., scholarships) are **government interventions** to correct underproduction. Voluntary solutions (A) lack consistency.

13. Example of public goods?

- **Choices:**
 - A. Houses
 - B. Food items
 - C. Wilderness
 - D. Clothes
- **Answer: C**
Explanation: Wilderness is non-rivalrous and non-excludable. A/B/D are private goods.

14. Characteristics of public goods?

- **Choices:**
 - A. Rivalry and excludability
 - B. Rivalry and non-excludability
 - C. Non-rivalry and excludability
 - D. Non-rivalry and non-excludability
- **Answer: D**

Explanation: Public goods are defined by these traits. Rivalry/excludability (A) describe private goods.

15. Reason for inefficiency in public goods provision?

- **Choices:**
 - A. Externality
 - B. Free riding
 - C. Divisibility
 - D. High marginal cost
- **Answer: B**
Explanation: Free riders benefit without paying, leading to **underprovision**. Externality (A) is broader.

16. Macro policy involving government expenditure/revenue?

- **Choices:**
 - A. Monetary policy
 - B. Fiscal policy
 - C. Income policy
 - D. Exchange rate policy
- **Answer: B**
Explanation: Fiscal policy uses **spending and taxation**. Monetary policy (A) manages money supply/interest rates.

17. Contractionary fiscal policy instrument?

- **Choices:**
 - A. A decrease in expenditure
 - B. Reduction of taxes
 - C. An increase in expenditure
 - D. Reduction of revenue
- **Answer: A**
Explanation: Contractionary policy reduces AD via **spending cuts** or tax hikes. B/D are expansionary.

18. Tight monetary policy applied during...

- **Choices:**

- A. High inflation
- B. High economic growth
- C. High unemployment
- D. Slow economic growth

- **Answer: A**

Explanation: Tight policy combats inflation by reducing money supply. It can slow growth (B/D) and worsen unemployment (C).

19. Alternative policy if fiscal/monetary policies fail?

- **Choices:**
 - A. Exchange rate policy
 - B. Trade policy
 - C. Income policy
 - D. Interest rate policy
- **Answer: C**
Explanation: Income policies (e.g., wage/price controls) **directly target inflation**. Exchange rate (A) or trade policies (B) affect external balance.

20. Exchange rate set by government?

- **Choices:**
 - A. Floating exchange rate regime
 - B. Fixed exchange rate regime
 - C. Managed floating
 - D. Crawling peg regime
- **Answer: B**
Explanation: Fixed rates are **government-determined**. Floating (A) are market-driven.

21. Cause of efficiency loss from negative externality?

- **Choices:**
 - A. Between marginal social benefit and marginal private benefit
 - B. Between marginal social cost and marginal private cost
 - C. Between private marginal cost and marginal external cost
 - D. Between private marginal benefit and marginal external benefit
- **Answer: B**
Explanation: Negative externalities occur when $MSC > MPC$. A refers to positive externalities.

22. Insurance fringe benefits solve...

- **Choices:**
 - A. Adverse selection
 - B. Moral hazard
 - C. Signalling
 - D. Screening
- **Answer: A**
Explanation: Pooling employees at average rates reduces **adverse selection** (hidden risks). Moral hazard (B) involves post-contract behavior.

23. Policy managing money supply/interest rates?

- **Choices:**
 - A. Fiscal policy
 - B. Exchange rate policy
 - C. Monetary policy
 - D. Income policy
- **Answer: C**
Explanation: Central banks use **monetary policy**. Fiscal policy (A) involves taxes/spending.

24. Monetary tool: buying/selling securities?

- **Choices:**

- A. Discount rate
- B. Open market operation
- C. Required reserve ratio
- D. Government spending

- **Answer: B**

Explanation: Open market operations influence money supply. Discount rate (A) and reserve ratio (C) are other tools.

25. Fiscal policy tool?

- **Choices:**
 - A. Taxation
 - B. Investment
 - C. Grants in aid
 - D. Transfer payments
- **Answer: A**
Explanation: Fiscal tools include **taxation and spending**. Investment (B) and transfers (D) are components, not direct tools.

26. Correct about price ceilings?

- **Choices:**

- A. It keeps a price from declining from a certain limit.
- B. It is a maximum price set by law to make basic goods affordable.
- C. It should be set above the equilibrium price to be effective.
- D. It discourages consumers from buying goods.

- **Answer: B**

Explanation: Price ceilings are set **below equilibrium** (C is wrong) to protect buyers. They cause shortages, not higher prices (D is incorrect).

27. Ethiopian birr appreciates impact on exports?

- **Choices:**
 - A. Ethiopian goods become cheaper in Kenya.
 - B. Kenyan imports become expensive in Ethiopia.
 - C. Ethiopia's export earnings increase.
 - D. Ethiopia's export earnings decrease.
- **Answer: D**
Explanation: A stronger birr makes Ethiopian goods more expensive in Kenya, reducing demand. A is incorrect (prices rise).

28. Definition of taxation?

- **Choices:**

- A. It is a voluntary payment.
- B. It is the only source of government revenue.
- C. It is levied without anything in direct return.
- D. It encourages coexistence of government.

- **Answer: C**

Explanation: Taxes are **compulsory** with no direct quid pro quo. A is false; B is incorrect (other revenue sources exist).

29. Canon of economy in taxation?

- **Choices:**
 - A. Pay tax according to ability.
 - B. Tax amount known in advance.
 - C. Pay tax at convenient time.
 - D. Minimal tax collection cost.
- **Answer: D**

Explanation: Canon of economy emphasizes **administrative efficiency**. A/B/C refer to other principles (equity, certainty, convenience).

30. Implication of "broad-based" tax system?

- **Choices:**

- A. Tax on all people without discrimination.
- B. Reduce income inequality.
- C. Tax on income, properties, and commodities.
- D. Increase national income and living standards.

- **Answer: C**

Explanation: Broad-based taxes **diversify revenue sources**. A refers to universality, B to equity, D to economic growth.

31. Advantage of fiscal decentralization?

- **Choices:**
 - A. Scale economies in tax collection
 - B. Scale economies in public goods provision
 - C. Public goods desired by local residents
 - D. Effective equity implementation
- **Answer: C**
Explanation: Decentralization **tailors services** to local preferences. A/B refer to centralization advantages (scale economies).

32. Aim of fiscal decentralization?

- **Choices:**
 - A. Promote regional partnership
 - B. Enhance private sector role
 - C. Encourage free labor movement
 - D. Ensure equity and efficiency
- **Answer: D**

Explanation: Decentralization improves **resource allocation** (efficiency) and addresses local needs (equity). A-C are secondary.